Ask Cinderhaven — Why is cash tight when sales are up?

baseline scenario — figures reconcile to Contract-to-Cash Lifecycle

Why is cash tight when sales are up?

Deduction drag is the culprit: 12.7% of every invoiced dollar disappears as deductions before cash arrives — $6,661,223 deducted across 222 remittances. DSO is 44 days — within range. Worst account: Walmart at 16.0% deduction rate.

12.7% deduction drag

Key numbers

12.7%	Avg deduction rate $6,661,223 of $52,128,777 invoiced
44 days	Avg DSO warning at 45 days
$6,291,722	Working capital in transit daily revenue × avg DSO

How this verdict was reached

Deduction drag = avg(total_deductions / gross_amount) from fct_retailer_payments. DSO = avg(received_date − delivery_date) matched by retailer within 90-day window. Fires when deduction rate > 12% OR DSO > 45 days. Thresholds from Contract-to-Cash Lifecycle.

Go deeper

Contract-to-Cash Lifecycle: https://lailarallc.com/contract-to-cash

Data: Cinderhaven Provisions, a synthetic demonstration dataset (not a client).

Built by Lailara LLC — data hygiene and analytics consulting for specialty food brands scaling into national retail. lailarallc.com